

Caterpillar demand quality

Was Caterpillar's 2026 Construction Industries growth driven by real end-user demand or dealer restocking?

Sam Felix · 5 October 2026 · Eight quarters, Q3 2024 – Q2 2026 · Sourced to Caterpillar and SEC filings, with earnings-call commentary identified as such

Caterpillar's Construction Industries growth was still heavily supported by dealer restocking in Q1 2026, but by Q2 the mix had shifted materially toward end-user demand. The disclosed dealer-inventory build fell from \$1.5B to \$400M, management changed its own explanation from inventory-first to end-user-first, and retail growth increased from 7% to 22%.

8

quarters analyzed
Q3 2024 – Q2 2026

32 / 32

segment bridges
reconcile to zero

0

assumed figures

16

comparability issues
logged and tested

A bridge is Caterpillar's own disclosed volume, price realization, currency and inter-segment components reconciled against its reported sales change, tested for each of four segments across eight quarters. Reconciliation demonstrates internal consistency with those components, not that the right line items were chosen.

Construction Industries	Q1 2026	Q2 2026
Disclosed CI dealer-inventory build	\$1.5B	\$400M
Management driver named first	dealer inventories	end users
Adjusted reported-vs-retail gap	24.3 pts	7.8 pts
Retail sales growth to end users	7%	22%
Reported CI sales growth	38.1%	34.8%

Reported growth barely moved. What produced it changed. Caterpillar's explanation shifted from naming dealer inventories first in Q1 to naming end users first in Q2.

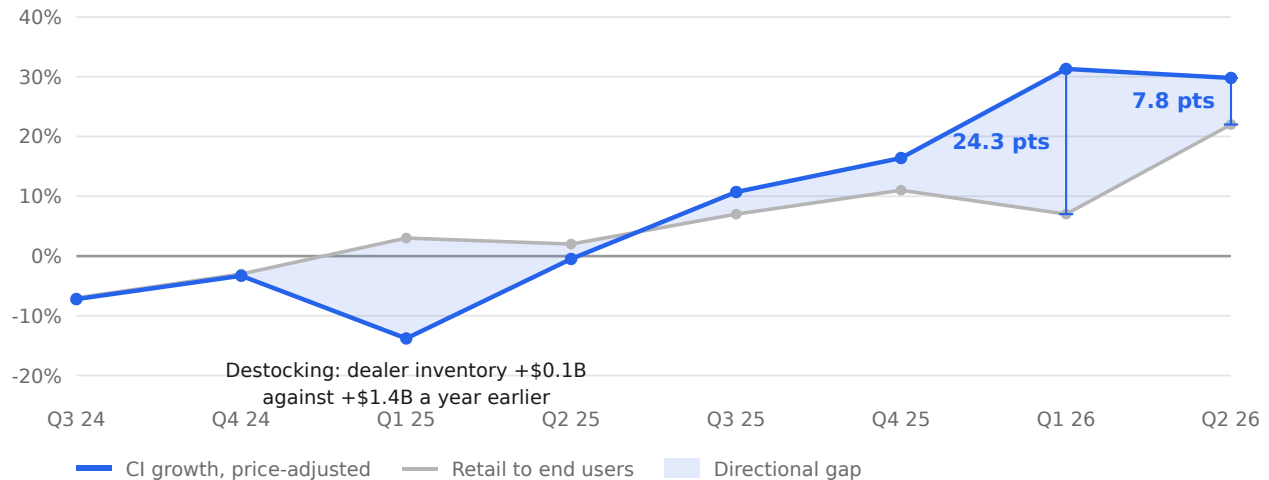
Read the reported-vs-retail gap as a **directional** indicator of dealer stocking, not as an exact dollar measurement of inventory. The two disclosures differ in price basis, scope, the treatment of parts and services, and possibly currency.

The gap between shipments and end-user demand

Between Q1 and Q2 2026 the gap between what Caterpillar shipped and what dealers sold to end users compressed from 24.3 points to 7.8 — the clearest single signal that the composition of growth changed.

The shipping-to-retail gap narrowed from 24.3 points to 7.8 in Q2 2026

Construction Industries, year-over-year growth. Band = shipments above retail: a directional read on dealer stocking.



The band is DIRECTIONAL, not a measured inventory amount. Retail is reported in price-neutral dollars based on unit sales, so price realization is stripped from the blue line for comparability. The two series do not reconcile arithmetically — they differ in price basis, scope, parts and services, and possibly currency. Disclosed CI dealer build: +\$1.5B in Q1 2026, +\$0.4B in Q2 2026 (Exhibit 3).

Caterpillar quarterly earnings releases and Ex 99.2 retail sales statistics, Q3 2024 – Q2 2026

The band is the signal. Where price-adjusted reported growth runs above retail growth, the pattern is consistent with dealer inventory building; where it runs below, it is consistent with slower accumulation or destocking. The signal is widest in Q1 2026 and narrows sharply in Q2.

Q1 2025 is the control case

The same pattern runs the other way a year earlier, which is what keeps it from being a story fitted to one quarter. Retail sales to end users rose 3% while price-adjusted CI shipments fell 13.8%. End demand was growing while reported shipments collapsed, as dealer inventory accumulation slowed sharply.

Retail corroborates; it does not carry the finding

Q2 2026 retail growth of 22% is one strong quarterly observation, not an established trend. The finding rests on the filed dealer-inventory dollars and management's own wording, with retail agreeing rather than leading.

Does the directional proxy hold up?

I pressure-tested the reported-vs-retail signal against the four quarters where Caterpillar disclosed dealer-inventory changes. The direction agrees in all four, but the magnitude does not reconcile precisely, and this is not an accounting identity. In Q1 2026 the gap-based estimate of \$1,258M falls roughly \$290M short of the implied year-over-year swing — Caterpillar's disclosed \$1.5B Construction Industries build against a slight decrease in the prior-year quarter. Price-basis differences explain part of that shortfall, while parts/services, currency and other scope differences prevent a precise reconciliation. Disclosure scope is not fully like-for-like across the four tests, so the result supports direction rather than a precise segment-level reconciliation.

Construction Industries	Q1 2025	Q3 2025	Q1 2026	Q2 2026
Implied stocking swing	−\$1,078M	+\$233M	+\$1,258M	+\$485M
Disclosed build, this quarter	\$100M	Increase (no dollar disclosed)	\$1,500M	\$400M
Disclosed build, prior-year quarter	\$1,400M	Decrease (no dollar disclosed)	slight decrease (unquantified)	decrease (unquantified)
Scope	Company-wide	—	CI	CI
Verdict	FITS — 83% of the company-wide swing	Sign agrees; magnitude untestable	UNDERSTATES by roughly \$290M	FITS — \$485M implied vs \$400M disclosed build; prior-year decrease unquantified

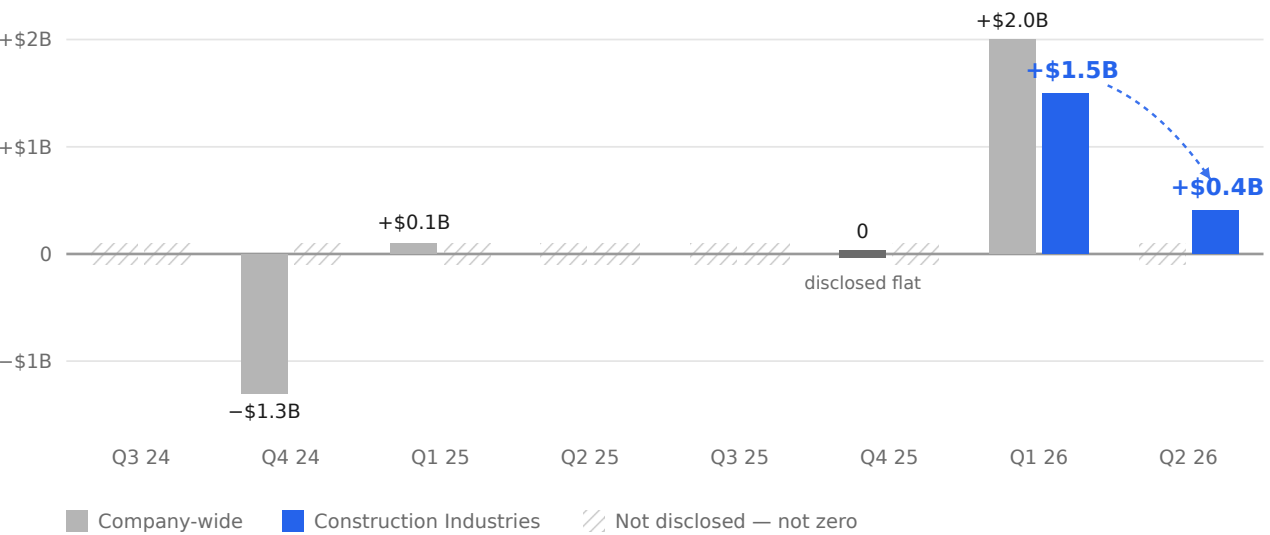
Source: underlying workbook Analysis tab, based on Caterpillar dealer-inventory disclosures. Q1 2025 compares a CI-derived estimate against a company-wide disclosure; CI-level dollars were not disclosed that quarter. Q3 2025 is testable on direction only; no dollar amount was disclosed.

What Caterpillar actually disclosed

The Construction Industries dealer build fell from \$1.5B in Q1 2026 to \$400M in Q2 — roughly a quarter of its prior size, and the hardest number in this analysis.

Construction Industries dealer build collapsed from \$1.5B to \$0.4B in Q2 2026

Disclosed dealer-inventory change. Every quarter has two slots; a hatched stub means that figure was never disclosed.



Scope changes mid-series: segment-level dollars exist only for Q1 and Q2 2026.
Q1 2026 is the only quarter carrying both figures, where the CI build is 75% of the company-wide build.

Caterpillar quarterly earnings releases; Q1 and Q2 2026 Forms 10-Q, accessions 0000018230-26-000021 and -000046

Both figures are confirmed in the filed Forms 10-Q by exact-phrase match against the EDGAR full-text index. The Q1 2026 filing also discloses a \$2.0B company-wide build, making that quarter the only one in the series carrying both scopes — and there the Construction Industries build is 75% of the company-wide figure.

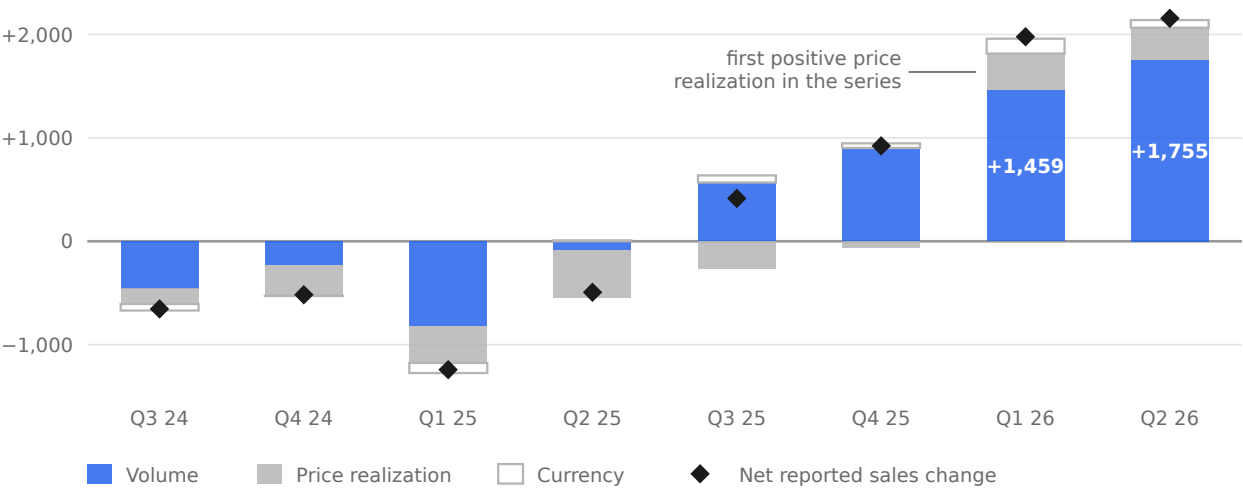
Showing all eight quarters rather than the two that make the point is deliberate. The chart is the complete disclosure record, so the collapse is visibly the largest move within it rather than two bars selected from eight. The gaps are part of the evidence: Caterpillar does not disclose dealer-inventory dollars continuously, and a quarter with no figure is not a quarter with no change.

What produced the reported sales change

Volume — not price — produces the 2026 growth, which is what makes the demand-quality question the whole question rather than a detail.

Volume produces the 2026 growth; price turns positive only in 2026

Construction Industries sales change against the prior-year quarter, \$ millions.
Stacked bars are component contributions; the diamond is the net reported change.



Inter-segment eliminations of \$13-\$40m a quarter are excluded for legibility, so the stacked components differ from the total diamond by that amount. This is a composition, not a reconciliation. All four components reconcile to the reported change with zero residual in the underlying workbook, across all eight quarters.
Caterpillar quarterly earnings releases, Construction Industries segment sales bridges, Q3 2024 - Q2 2026

Price realization is negative in every quarter from Q3 2024 through Q4 2025 and turns positive for the first time in Q1 2026, contributing \$356M against volume's \$1,459M. Currency is immaterial throughout, peaking at \$143M. In Q2 2026 volume contributes \$1,755M of a \$2,156M reported increase.

Because volume carries the growth, whether that volume reached end users or stopped in dealer inventory determines whether the growth is durable. That is the question the preceding two pages answer.

What this implies, and what would break it

If Caterpillar follows through on the expected dealer-inventory drawdown while end-user demand remains healthy, dealer stocking should contribute less to reported CI growth in H2 2026. Reported growth should therefore move closer to retail growth, or temporarily trail it during destocking.

Stated as inference, not finding. All three describe H2 2026, which had not been reported when this was written.

Strengthens the thesis

Retail growth remains elevated while dealer inventory growth continues to slow or turns negative.

Weakens the thesis

Retail growth falls materially in H2 while dealer inventories draw down, suggesting Q2's 22% was a temporary spike rather than evidence of durable end demand.

Alternative: demand pull-forward

Positive tariff-related price realization may have encouraged some customers to purchase earlier than planned, inflating Q2 retail at the expense of H2. A hypothesis, not a proven fact. H2 retail behavior should distinguish durable demand from pull-forward.

What I expected to corroborate — and didn't

I expected inventory-heavy Q1 2026 growth to show up as unusually weak cash conversion. It didn't — Q1 is seasonally weak and Q1 2026 operating cash flow was stronger than Q1 2025, so cash flow does not independently confirm the stocking thesis. It is reported here because leaving it out would be selective.

Margin context, and what the analysis cannot claim

The Q4 2025 margin trough was driven largely by tariff costs rather than an underlying efficiency or cost-control deterioration, and the 2026 recovery is partly that pressure receding.

Construction Industries	Q4 2025	Q1 2026	Q2 2026
Reported segment margin	14.9%	21.4%	23.3%
Disclosed tariff drag, \$m	420	362	284
Tariff drag, bps of margin	604	509	340
Margin excluding that drag, derived	20.9%	26.5%	26.7%

Q4 2025 and Q1 2026 drags are dollar figures disclosed in the earnings releases, and their bps are derived as the ex-tariff margin computed from raw dollars less Caterpillar's rounded reported margin — so they differ by 2–3 bps from drag ÷ sales. Q2 2026 is the reverse: Caterpillar disclosed 340 bps on the earnings call, converted to dollars here. Ex-tariff margin is an **upper bound** on underlying performance: the price realization that lifted it was taken partly to recover the same tariff costs. Separately, Q2 2026 consolidated operating profit included \$392m of one-time IEEPA tariff recoveries, which the CFO stated sat mostly in corporate items — CI segment margin is unaffected by them.

Caterpillar 4Q 2025, 1Q 2026 and 2Q 2026 earnings releases and Q2 2026 earnings call

Tariffs are not a one-time item — they recur while in force, guided to roughly \$2.2bn for full-year 2026, with management indicating roughly half of the Q3 burden falls in Construction Industries. This is a cost shock receding and price recovering it, not an efficiency or cost-control finding.

Limitations

- The reported-vs-retail gap is directional and relative, not a precise dealer-inventory dollar measure.
- Q2 2026 retail strength is a single observation and needs H2 confirmation.
- Segment-level dealer-inventory dollars are not disclosed continuously, so no unbroken eight-quarter series exists at either scope.

Methodology and sources

Financial figures are sourced to Caterpillar and SEC filings wherever available: quarterly earnings releases Q3 2024 – Q2 2026, Ex 99.2 Rolling 3-Month Retail Sales Statistics, and the Q1 and Q2 2026 Forms 10-Q (accessions 0000018230-26-000021 and -000046). Management commentary not reproduced in a filing is identified as earnings-call commentary and supported by transcript sources. No third-party estimates or analyst summaries are used as financial inputs. Where the 10-Q documents would not serve Item 2 on retrieval, figures were confirmed by exact-phras match against the EDGAR full-text index — present in the filing, though the surrounding sentence was not read.

Underlying workbook available for download — the eight-quarter dataset, 32 reconciled bridges, a source and classification for every figure, and the comparability log.